



FINANCING GUIDE / 09

# Business Acquisition Financing

A practical guide to financing the purchase of an established business, partner interest, or business-and-real-estate transaction.

Business acquisition financing is underwritten around both the buyer and the business being purchased. Lenders typically evaluate the target company's historical cash flow, purchase price, valuation, industry, buyer experience, equity injection, seller involvement, collateral, and whether the post-close business can support the proposed debt.

The capital stack can include SBA financing, seller financing, buyer equity, and other supplemental sources depending on the transaction.

## Common use cases

- Acquire an established operating company
- Purchase a franchise or route-based business
- Buy out an exiting partner
- Acquire a business together with owner-occupied real estate
- Finance eligible transition and closing needs as part of a broader acquisition

### HOW LENDERS LOOK AT IT

## What typically drives the financing decision

### Target cash flow

Historical tax returns, interim results, add-backs, existing debt, and the business's ability to service acquisition debt.

### Purchase price

Valuation support, allocation of purchase price, goodwill, equipment, inventory, and real estate where applicable.

### Buyer profile

Credit, liquidity, industry/management experience, resume, and ability to operate the acquired company.

### Equity and seller structure

Buyer injection, seller note, standby/subordination, and post-close leverage can affect the transaction.

### Transition risk

Seller involvement, customer concentration, key employees, licenses, and continuity of operations.

### PREPARING YOUR REQUEST

# What to have ready

Requirements vary by program, but a complete and organized package helps FLS identify the right path and reduces unnecessary back-and-forth.

## Target business

Business tax returns, YTD P&L; and balance sheet, debt schedule, purchase agreement/LOI, and supporting operational information.

## Buyer

Personal tax returns, personal financial statement, resume, liquidity verification, ownership information, and credit authorization.

## Transaction

Sources and uses, equity injection, seller financing terms, business valuation, and real-estate information if included.

## PROCESS

# From request to funding

### 1 Review the target

Review the target business and preliminary purchase structure.

### 2 Analyze cash flow

Analyze historical cash flow and expected post-close debt service.

### 3 Review the buyer

Review buyer experience, credit, liquidity, and equity contribution.

### 4 Structure the deal

Structure SBA/other acquisition financing and submit a complete package.

### 5 Underwrite & close

Complete lender underwriting, valuation, closing diligence, and funding if approved.

#### WHAT CAN STRENGTHEN THE REQUEST?

Strong historical cash flow, a supportable purchase price, experienced buyer, adequate equity/liquidity, seller cooperation, and a thoughtful transition plan can materially improve financeability.

## Find the right business acquisition financing path

FLS Capital Advisors works across multiple financing sources rather than forcing every request into one program. Answer a few questions about your business and financing objective, and a specialist will review the paths that may fit.

**[flscapitaladvisors.com/start](https://flscapitaladvisors.com/start)** Talk with a specialist: [flscapitaladvisors.com/contact](https://flscapitaladvisors.com/contact)

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